

E-Commerce and ERP - 5 Mark Answers

Q1. E-Commerce and Business Models

E-Commerce (Electronic Commerce) refers to buying and selling goods and services through electronic networks, mainly the Internet. It enables businesses and customers to conduct transactions online. B2B (Business-to-Business): Transactions occur between businesses. Example: A manufacturer purchasing raw materials from a supplier. B2C (Business-to-Consumer): Businesses sell products directly to consumers. Example: Amazon, Flipkart. C2C (Consumer-to-Consumer): Consumers sell products or services to other consumers. Example: OLX, eBay. C2B (Consumer-to-Business): Individuals provide products or services to businesses. Example: Freelancers offering services through online platforms. Employment and Self-Employment Opportunities: • Creates jobs in web development, digital marketing, logistics, and customer support. • Encourages entrepreneurship through online stores. • Enables freelancing and independent service businesses. • Supports small businesses in reaching global customers.

Q2. ERP Concepts and Architecture

ERP (Enterprise Resource Planning) is an integrated software system that manages and automates business processes across different departments. Basic Architecture: • Database Layer – Stores organizational data. • Application Layer – Processes business logic. • User Interface Layer – Allows users to interact with the system. Benefits of ERP Integration: • Eliminates data duplication. • Improves communication among departments. • Enhances productivity and decision-making. • Provides real-time information. Career Opportunities: ERP implementation creates demand for ERP consultants, software developers, database administrators, system analysts, and support engineers.

Q3. ERP Functional Modules

Finance Module: Manages accounting, budgeting, financial reporting, and transactions. Human Resource (HR) Module: Handles employee records, payroll, recruitment, and performance management. Supply Chain Management (SCM) Module: Manages procurement, inventory, warehousing, and logistics. Customer Relationship Management (CRM) Module: Maintains customer data, sales activities, and customer support. Relevance to Employability: Organizations require specialists in finance systems, HR analytics, supply chain operations, CRM management, ERP consulting, and business analysis.

Q4. E-Commerce Technologies and Entrepreneurship

Online Payment Systems: Enable secure digital transactions using credit cards, debit cards, UPI, and digital wallets. Digital Marketing: Uses SEO, social media marketing, email marketing, and online advertisements to attract customers. E-Marketplaces: Platforms that connect buyers and sellers online. Examples: Amazon Marketplace, Flipkart Marketplace. Support for Entrepreneurship: • Low startup costs. • Wider market reach. • Easy product promotion. • Flexible business operations. Examples: A small business owner can sell handmade products online using an e-marketplace and receive payments through digital payment gateways.

Q5. Integration of E-Commerce and ERP

Integration of E-Commerce and ERP connects online business platforms with internal organizational systems. Working: • Customer orders from an e-commerce website are automatically

transferred to ERP. • Inventory is updated in real time. • Billing, shipping, and customer information are synchronized. Benefits: • Faster order processing. • Better inventory management. • Improved customer satisfaction. • Accurate reporting and decision-making. Employment Opportunities: The integration creates jobs for ERP consultants, e-commerce developers, system integrators, business analysts, database administrators, and IT support professionals.